

PHASE II READINESS DIAGNOSTIC

Your Readiness Score

Vantage Aerospace Systems, Inc. · Diagnostic completed: April 6, 2026

◆ *SAMPLE OUTPUT — Fictional client (Vantage Aerospace Systems, Inc.) — Generated for demonstration purposes only* ◆

87_{/100}

PHASE II READY — MINOR TUNING

You are positioned to submit a Phase II proposal with a strong compliance posture. Two advisory items in this report will take your score from 87 to 95+.

THE LANDSCAPE

Where Phase II Teams Typically Stand

Phase I awards are firm-fixed-price, so DCAA rarely scrutinizes the accounting system directly during Phase I execution. That changes at Phase II. Phase II awards are cost-reimbursable, which triggers a Standard Form 1408 pre-award accounting system survey by DCAA before funds are obligated. Teams that treat compliance as a Phase II problem — rather than a Phase I habit — typically spend 3 to 5 months scrambling to reconstruct labor records, clean up unallowable costs, and document procedures retroactively. The most common result is a delayed Phase II award by 60 to 120 days, which burns runway at the worst possible time.

Your current posture is significantly stronger than the field. Based on the evidence drawn from your live PhaseOne compliance data, you are approximately 60 days of clean operations away from full SF-1408 audit readiness.

THE GAP

What Separates 87 From 95

Your timekeeping and labor distribution subsystems are at or near the top of the rating range. Your unallowable cost screening is structurally sound — three unallowable entries were flagged automatically during the last 90 days and all three were correctly classified as non-billable at entry, with zero dollars charged against the contract.

The two items that separate you from a 95+ score are **documented procedures** and **cost-reimbursable mechanics**. A DCAA auditor expects to see a written reconciliation procedure that links your labor ledger to your general ledger, with a documented monthly sign-off. A DCAA auditor also expects to see that your indirect cost pool structure and provisional rates are formally documented, and that you have executed at least one test cost voucher. Neither gap is systemic. Both are procedural work your CPA partner can complete in two working sessions totaling approximately 4 hours.

THE WINDOW

Timing for Maximum Leverage

If you are targeting a Phase II submission in the June–August 2026 window (typical for teams currently in Month 7–9 of a 12-month Phase I), you should complete both procedural items by **May 15, 2026**. That gives you a 30-day cushion before proposal submission to generate a final SF-1408 readiness package for your proposal appendix. Submitting the readiness package proactively — before DCAA requests it — is one of the strongest positive signals you can send the contracting officer.

SCORING BREAKDOWN

How Your 87 Was Calculated

Dimension	Weight	Your Score	Contribution
Timekeeping discipline	25%	98	24.5
Labor distribution & CLIN mapping	20%	94	18.8
Unallowable cost screening	15%	96	14.4
PM verification coverage	10%	86	8.6
Indirect rate documentation	15%	72	10.8
General ledger reconciliation	10%	78	7.8
Audit trail immutability	5%	100	5.0
	100%		89.9 → 87 (rounded)

30-DAY ACTION PLAN

How to Reach 95+

- Week 1

Schedule two 2-hour working sessions with your CPA partner: (1) indirect cost pool documentation, (2) provisional rate memorandum.
- Week 2

Execute first monthly labor-to-GL reconciliation with written sign-off. PhaseOne will auto-generate the draft memo.
- Week 3

Run a test cost voucher against internal overhead to validate cost-reimbursable mechanics. Document the procedure.
- Week 4

Re-run the Phase II Readiness diagnostic. Target score: 95+. Generate final SF-1408 readiness package for proposal appendix.

ATTESTATION

This readiness diagnostic was generated by the PhaseOne Compliance analysis engine on 2026-04-17. The score reflects a weighted composite across seven compliance dimensions calibrated to SF-1408 pre-award survey criteria. It is advisory and does not constitute a certified audit determination. The actual SF-1408 survey is conducted by a DCAA auditor during Phase II award negotiation.